Business Environment & Ethics - Set 2

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. A carbon footprint measures
- A. Number of employees
- B. Plant area
- C. Total greenhouse gas emissions caused by an activity or organisation
- D. Sales volume

2. A cooperative society is best described as
- A. A government department
- B. A voluntary association of persons for mutual benefit
- C. A foreign company
- D. A one-person business

3. A trademark protects
- A. Inventions
- B. Books
- C. Brand names, logos and symbols identifying goods
- D. Land

Case: Sundaram Auto Components: Sundaram Auto Components, a Pune-based manufacturer, supplies parts to large carmakers. Its machines are outdated, but its workforce is highly skilled and loyal, and its mission stresses quality. Recently a new emission rule has pushed carmakers to demand cleaner components, a rival has begun selling similar parts at lower prices, and a weaker rupee has raised the cost of imported steel.

4. Which of the following is an internal factor for Sundaram?
- A. The new emission rule
- B. Its skilled and loyal workforce
- C. The rival's lower prices
- D. The weaker rupee

Case: Foreign Capital and the Law: A foreign carmaker sets up a plant in India. In 1991 the government had allowed automatic approval for foreign equity up to 51 per cent in 34 high-priority industries. Later, the strict Foreign Exchange Regulation Act, 1973 (FERA) was replaced by a more liberal law aimed at facilitating external trade and payments.

5. The Act that replaced FERA, 1973 is:
- A. Competition Act, 2002
- B. FEMA, 1999
- C. Companies Act, 2013
- D. Information Technology Act, 2000

Case: SunVolt Energy: SunVolt Energy plans to sell rooftop solar systems in India. It notes that the government offers a subsidy for rooftop solar, bank interest rates are falling so loans are cheaper, battery technology has become much cheaper, and net-metering regulations now allow households to sell extra power to the grid.

6. Falling bank interest rates making loans cheaper is an:
- A. Economic factor
- B. Legal factor
- C. Social factor
- D. Political factor

Case: Alpha Pharma's Finance Director: The finance director of Alpha Pharma learns of an unannounced merger that will push up the share price. Before the news is public, he buys shares through his brother and makes a large profit. An employee who learns of it reports the matter through the company's confidential reporting channel.

7. The regulator that deals with such offences in the securities market is:

A. SEBI
B. RBI
C. TRAI
D. IRDAI

8. The Paris Agreement (2015) aims to limit global temperature rise to well below
A. 2 degrees Celsius above pre-industrial levels
B. 5 degrees Celsius
C. 10 degrees Celsius
D. 0.1 degrees Celsius

Case: Zenith Software: Pay Gap: At Zenith Software, women are paid less than men for the same role and experience. A woman engineer complains to HR. An ethics review finds that the pay policy has no clear rules and that managers set salaries at their discretion.

9. The practice also fails to respect employees':
A. Rights to equal and non-discriminatory treatment
B. Right to hoard
C. Right to profit
D. Right to bargain below cost

10. An environmental audit is
A. A systematic evaluation of how a firm's activities affect the environment
B. A tax audit
C. A cost audit
D. A stock audit

11. Sustainable development means
A. Rapid industrial growth at any cost
B. Only environmental protection
C. Meeting present needs without compromising the needs of future generations
D. Maximising short-term profit

12. SDG 13 relates to
A. Zero hunger
B. Good health
C. Climate action
D. Gender equality

13. The skill, motivation and attitude of employees affect a firm's
A. Productivity and efficiency
B. Interest rate
C. Inflation
D. National income

Case: Greenleaf Stationery, Thrissur: Greenleaf Stationery is a small shop near several schools. Its main customers are the schools; its paper wholesaler is its key supplier; and an online seller is a new competitor. The owner has also noticed that a change in GST rates altered prices, a national slowdown cut household spending, and the growth of digital learning is reducing paper use.

14. The change in GST rates is a:
A. Micro-environmental factor
B. Internal factor
C. Controllable factor
D. Macro-environmental factor

15. The E-Waste (Management) Rules deal with
A. Disposal and recycling of discarded electronic goods
B. Disposal of food waste
C. Sewage treatment
D. Mining waste only

16. Ethical codes often

A. Replace laws
B. Contradict laws
C. Apply only where there are no laws
D. Go beyond minimum legal requirements

17. The SEBI Act, 1992 is mainly concerned with the regulation of the
A. Agricultural trade
B. Foreign trade
C. Securities market
D. Labour market

18. A consumer complaint must normally be filed within ___ from the date the cause of action arose.
A. Six months
B. Two years
C. Five years
D. Ten years

19. Income left with a consumer after paying direct taxes is called
A. Disposable income
B. Gross income
C. National income
D. Corporate income

20. A "speed money" payment to an official to get a routine task done faster is generally
A. Treated as bribery and unethical
B. A legal fee
C. A CSR expense
D. A trade discount

Case: PureLeaf's Eco-Friendly Claim: PureLeaf advertises its packaging as '100% eco-friendly' although only 10 per cent of the packaging is recycled material. A consumer group complains. The company later cuts plastic use and publishes an independently verified sustainability report.

21. PureLeaf's original advertisement is an example of:
A. Philanthropy
B. Greenwashing
C. Social audit
D. Corporate governance

22. The collapse of Enron in 2001 is widely associated with
A. Product recall
B. Accounting fraud
C. An oil spill
D. A labour strike

Case: InfoServe BPO, Bengaluru: InfoServe, a Bengaluru firm, handles customer support for American clients at a lower cost, using skilled English-speaking staff. India's services exports have grown rapidly since the 1990s, helped by the WTO's rules-based trading system, which India joined as a founding member. However, InfoServe depends heavily on demand from foreign clients.

23. InfoServe's cost advantage mainly arises from:
A. Import duties
B. Government subsidies on clients' purchases
C. Monopoly power
D. Skilled, English-speaking labour at lower wages than in the client country

24. A contract heavily one-sided against the consumer, such as one with excessive penalties, is called an
A. Fair contract
B. Void agreement
C. Unfair contract
D. Wagering agreement

25. Selling a pre-packaged product above its Maximum Retail Price (MRP) is

A. Always allowed
B. An unfair trade practice and illegal
C. A CSR activity
D. A discount

26. Which of the following belongs to the macro environment of a business?
A. Suppliers
B. Direct competitors
C. Marketing intermediaries
D. Demographic factors

27. Using LED lighting and energy-efficient machines is an example of
A. Higher costs
B. Waste creation
C. Energy efficiency
D. Pollution

28. SEBI was given statutory powers in
A. 1988
B. 1999
C. 2005
D. 1992

Case: Advertising and Local Values: A liquor brand plans a large advertisement along a route used for a temple festival in a conservative town. Local leaders, parents and traders object, saying it offends community values. The company's ethics committee is asked to advise.

29. Society's ethical values are shaped mainly by:
A. Stock market trends
B. Exchange rates
C. Culture, religion, tradition and education
D. Tariff structures

Case: Three Countries, Three Systems: In Country X, private firms own most resources and prices are set by markets with little state interference. In Country Y, the state owns all factories and plans output centrally. In Country Z, private and public enterprises operate side by side and the government regulates key sectors, as in India.

30. The basic problems faced by all three countries are:
A. When to retire, whom to hire and where to tax
B. Where to import, how to export and when to borrow
C. What to produce, how to produce and for whom to produce
D. What to tax, whom to tax and how to audit

Case: Nova Beverages: Nova Beverages prepared two reports. Report 1 covers changes in excise tax rates, a shift in the age profile of consumers, new bottling technology and stricter rules on plastic waste. Report 2 lists the brand's strong recognition and its weak distribution network in rural areas.

31. The sensible next step for Nova's management is to:
A. Stop monitoring the environment
B. Combine the external findings with internal strengths and weaknesses to form strategy
C. Ignore the external report
D. Reduce the number of staff

32. The First Five Year Plan placed major emphasis on
A. Heavy industry
B. Services
C. Agriculture
D. Exports

33. Protecting biodiversity means
A. Conserving the variety of plant and animal life
B. Clearing forests
C. Hunting

D. Mining

Case: UrbanThread Fashion: UrbanThread, a clothing retailer, is reviewing its environment. A new law has raised minimum wages for garment workers. High inflation is reducing customers' spending on non-essential items. Activists criticise the industry for textile waste and demand recycling. Younger buyers increasingly prefer sustainable, ethically made clothing.

34. The criticism over textile waste and demand for recycling is an:

A. Environmental factor
B. Economic factor
C. Technological factor
D. Political factor

Case: Meena's Two Worlds: Before 1991, Meena's family waited years for a scooter or a telephone connection, and choices were limited. Today she can choose from many brands, including foreign ones, and from several mobile plans regulated by TRAI. Services now contribute the largest share of India's GDP.

35. Meena's wider choice and better quality are positive outcomes mainly of:

A. Strict import quotas
B. Increased competition after liberalisation
C. Public sector monopolies
D. Licence Raj

Case: Coastal Cements and the Fishing Village: Coastal Cements built a plant near a fishing village. The company trains local youth in technical skills, funds a primary health centre and publishes an annual social audit of its impact on the community. Villagers now support the plant, and its leaders say this goodwill has helped the plant run smoothly.

36. Training local youth in technical skills falls under which kind of CSR activity?

A. Political donation
B. Product advertising
C. Employee bonus
D. Skill development, listed in Schedule VII

37. Economic growth that does not create proportionate employment is called

A. Jobless growth
B. Inclusive growth
C. Sustainable growth
D. Balanced growth

38. A statutory audit gives shareholders

A. A guarantee of profit
B. Management's secrets
C. Tax refunds
D. Independent assurance on financial statements

39. Consumers can file complaints online through the

A. SEBI Scores
B. GST portal
C. CPCB portal
D. e-Daakhil portal

Case: Anil's Overheating Phone: Anil buys a Rs. 40,000 phone through an online marketplace. After two weeks the phone overheats and catches fire, causing him minor burns. The seller refuses a refund and blames the manufacturer. Anil decides to take legal action under the consumer law in force.

40. Which consumer right was violated in this case?

A. Right to bargain
B. Right to safety
C. Right to hoard
D. Right to profit

Case: Response to an Economic Slowdown: During a slowdown, the government raises spending on roads and cuts income tax. At the same time, the central bank reduces the repo rate and the Cash Reserve Ratio. Analysts say borrowing will become cheaper, but warn that if demand overshoots supply, prices could rise.

41. A lower repo rate is expected to:
A. Make bank loans costlier
B. Reduce the money supply
C. Raise the tax rate
D. Make bank loans cheaper and encourage investment

42. Advertising claims should be
A. Exaggerated
B. Hidden
C. Truthful and substantiated
D. Secret

43. An appeal against an order of the National Commission lies with the
A. High Court
B. State Commission
C. District Commission
D. Supreme Court

44. Firms secretly agreeing on the prices they will quote in a tender is called
A. Auction
B. Bid rigging
C. Hedging
D. Franchising

45. Agmark certifies the quality of
A. Gold jewellery
B. Agricultural products
C. Electronic goods
D. Textiles

Case: Stake Sale and Foreign Investment: The government sold 20 per cent of its stake in a public sector bank to institutional investors. In the same year, a foreign company invested Rs. 500 crore to set up a factory in India and took management control of it. Officials said the investment would bring capital, technology and jobs.

46. The sale of part of the government's stake in a public sector bank is called:
A. Nationalisation
B. Devaluation
C. Disinvestment
D. Import substitution

47. Fair pricing means
A. Charging the highest possible price
B. Charging below cost
C. Changing prices daily
D. Charging a reasonable price without exploiting consumers

Case: Karthik Plastics and Government Policy: Karthik Plastics, a small manufacturer, benefits from the government's 'Make in India' campaign and a production-linked incentive scheme. Since 2017 it pays a single unified indirect tax instead of several separate ones. Recently, the Competition Commission of India fined a group of cement companies for fixing prices together.

48. The production-linked incentive scheme reflects the government's role as a:
A. Promoter
B. Regulator only
C. Judge
D. Auditor

49. Selling goods in a foreign market at a price below cost or home price is called
A. Outsourcing
B. Disinvestment
C. Franchising
D. Dumping

50. Consumerism is best described as

A. A policy of maximising consumption
B. A tax on consumers
C. A social movement to protect and promote consumers' interests and rights
D. A form of trade union

Answer key - Set 2

1. **C**	11. **C**	21. **B**	31. **B**	41. **D**
2. **B**	12. **C**	22. **B**	32. **C**	42. **C**
3. **C**	13. **A**	23. **D**	33. **A**	43. **D**
4. **B**	14. **D**	24. **C**	34. **A**	44. **B**
5. **B**	15. **A**	25. **B**	35. **B**	45. **B**
6. **A**	16. **D**	26. **D**	36. **D**	46. **C**
7. **A**	17. **C**	27. **C**	37. **A**	47. **D**
8. **A**	18. **B**	28. **D**	38. **D**	48. **A**
9. **A**	19. **A**	29. **C**	39. **D**	49. **D**
10. **A**	20. **A**	30. **C**	40. **B**	50. **C**

Answers with explanations

1. A carbon footprint measures

Answer: C. Total greenhouse gas emissions caused by an activity or organisation

Why correct: A carbon footprint is total greenhouse gas emissions caused by an activity or organisation.

A is wrong: Employee count is not emissions.

B is wrong: Plant area is not emissions.

D is wrong: Sales volume is not emissions.

2. A cooperative society is best described as

Answer: B. A voluntary association of persons for mutual benefit

Why correct: A cooperative society is a voluntary association for mutual benefit.

A is wrong: It is not a government department.

C is wrong: It is not a foreign company.

D is wrong: It is not a one-person business.

3. A trademark protects

Answer: C. Brand names, logos and symbols identifying goods

Why correct: A trademark protects brand names, logos and symbols.

A is wrong: Inventions are patents.

B is wrong: Books are copyright.

D is wrong: Land has property law.

4. Which of the following is an internal factor for Sundaram?

Answer: B. Its skilled and loyal workforce

Why correct: The skilled, loyal workforce lies inside Sundaram, so it is an internal factor.

A is wrong: The emission rule is an external legal rule.

C is wrong: The rival's prices are an external competitive force.

D is wrong: The weaker rupee is an external economic factor.

5. The Act that replaced FERA, 1973 is:

Answer: B. FEMA, 1999

Why correct: FEMA, 1999 replaced FERA, 1973.

A is wrong: The Competition Act replaced MRTP.

C is wrong: The Companies Act governs companies.

D is wrong: The IT Act governs electronic matters.

6. Falling bank interest rates making loans cheaper is an:

Answer: A. Economic factor

Why correct: Interest rates are economic.

B is wrong: It is not a law.

C is wrong: It is not social.

D is wrong: It is not political.

7. The regulator that deals with such offences in the securities market is:

Answer: A. SEBI

Why correct: SEBI deals with securities market offences.

B is wrong: RBI regulates banks.

C is wrong: TRAI regulates telecom.

D is wrong: IRDAI regulates insurance.

8. The Paris Agreement (2015) aims to limit global temperature rise to well below

Answer: A. 2 degrees Celsius above pre-industrial levels

Why correct: The Paris Agreement aims to hold warming well below 2 degrees C.

B is wrong: 5 degrees C is far too high.

C is wrong: 10 degrees C is far too high.

D is wrong: 0.1 degrees C is not the target.

9. The practice also fails to respect employees':

Answer: A. Rights to equal and non-discriminatory treatment

Why correct: It denies employees' right to equal and non-discriminatory treatment.

B is wrong: No right to hoard exists.

C is wrong: No right to profit exists.

D is wrong: No right to bargain below cost exists.

10. An environmental audit is

Answer: A. A systematic evaluation of how a firm's activities affect the environment

Why correct: An environmental audit evaluates how a firm's activities affect the environment.

B is wrong: A tax audit checks taxes.

C is wrong: A cost audit checks costs.

D is wrong: A stock audit checks stock.

11. Sustainable development means

Answer: C. Meeting present needs without compromising the needs of future generations

Why correct: Sustainable development meets present needs without harming future generations.

A is wrong: Growth at any cost ignores the future.

B is wrong: Only the environment ignores people.

D is wrong: Short-term profit ignores sustainability.

12. SDG 13 relates to

Answer: C. Climate action

Why correct: SDG 13 is Climate Action.

A is wrong: Zero hunger is SDG 2.

B is wrong: Good health is SDG 3.

D is wrong: Gender equality is SDG 5.

13. The skill, motivation and attitude of employees affect a firm's

Answer: A. Productivity and efficiency

Why correct: Skilled, motivated staff raise productivity and efficiency.

B is wrong: Interest rate is external.

C is wrong: Inflation is external.

D is wrong: National income is macro.

14. The change in GST rates is a:

Answer: D. Macro-environmental factor

Why correct: GST is a national tax rule affecting all - a macro factor.

A is wrong: It is not specific to the shop.

B is wrong: The shop cannot control it.

C is wrong: The shop cannot control it.

15. The E-Waste (Management) Rules deal with

Answer: A. Disposal and recycling of discarded electronic goods

Why correct: E-Waste Rules cover disposal and recycling of electronic waste.

B is wrong: Food waste has other rules.

C is wrong: Sewage has other rules.

D is wrong: Mining waste is a different area.

16. Ethical codes often

Answer: D. Go beyond minimum legal requirements

Why correct: Ethical codes often go beyond the minimum legal requirement.

A is wrong: They do not replace laws.

B is wrong: They do not contradict laws.

C is wrong: They apply even where laws exist.

17. The SEBI Act, 1992 is mainly concerned with the regulation of the

Answer: C. Securities market

Why correct: The SEBI Act, 1992 regulates the securities (stock) market.

A is wrong: Agricultural trade is not SEBI's area.

B is wrong: Foreign trade is not SEBI's area.

D is wrong: The labour market is not SEBI's area.

18. A consumer complaint must normally be filed within ___ from the date the cause of action arose.

Answer: B. Two years

Why correct: A complaint must normally be filed within two years of the cause of action.

A is wrong: Six months is too short.

C is wrong: Five years is too long.

D is wrong: Ten years is too long.

19. Income left with a consumer after paying direct taxes is called

Answer: A. Disposable income

Why correct: Income after direct taxes is disposable income.

B is wrong: Gross income is before tax.

C is wrong: National income is the country total.

D is wrong: Corporate income is a firm's income.

20. A "speed money" payment to an official to get a routine task done faster is generally

Answer: A. Treated as bribery and unethical

Why correct: 'Speed money' to officials is bribery and unethical.

B is wrong: It is not a legal fee.

C is wrong: It is not CSR.

D is wrong: It is not a trade discount.

21. PureLeaf's original advertisement is an example of:

Answer: B. Greenwashing

Why correct: Claiming '100% eco-friendly' with only 10% recycled material is greenwashing.

A is wrong: Philanthropy is charitable giving.

C is wrong: A social audit checks social impact.

D is wrong: Governance is control of the company.

22. The collapse of Enron in 2001 is widely associated with

Answer: B. Accounting fraud

Why correct: Enron collapsed over accounting fraud.

A is wrong: It was not a product recall.

C is wrong: It was not an oil spill.

D is wrong: It was not a strike.

23. InfoServe's cost advantage mainly arises from:

Answer: D. Skilled, English-speaking labour at lower wages than in the client country

Why correct: InfoServe's advantage is skilled English-speaking labour at lower wages.

A is wrong: Import duties do not help.

B is wrong: Subsidies on clients' purchases are not given.

C is wrong: It has no monopoly.

24. A contract heavily one-sided against the consumer, such as one with excessive penalties, is called an

Answer: C. Unfair contract

Why correct: A heavily one-sided contract is an unfair contract.

A is wrong: A fair contract is balanced.

B is wrong: A void agreement is not enforceable.

D is wrong: A wagering agreement is a bet.

25. Selling a pre-packaged product above its Maximum Retail Price (MRP) is

Answer: B. An unfair trade practice and illegal

Why correct: Charging above MRP is an illegal unfair trade practice.

A is wrong: It is not allowed.

C is wrong: It is not CSR.

D is wrong: It is not a discount.

26. Which of the following belongs to the macro environment of a business?

Answer: D. Demographic factors

Why correct: Demographics affect all firms, so they are macro.

A is wrong: Suppliers are micro.

B is wrong: Direct competitors are micro.

C is wrong: Marketing intermediaries are micro.

27. Using LED lighting and energy-efficient machines is an example of

Answer: C. Energy efficiency

Why correct: LED lighting and efficient machines save energy: energy efficiency.

A is wrong: They reduce costs over time.

B is wrong: They reduce waste.

D is wrong: They reduce pollution.

28. SEBI was given statutory powers in

Answer: D. 1992

Why correct: SEBI got statutory powers in 1992.

A is wrong: 1988 was its non-statutory birth.

B is wrong: 1999 is wrong.

C is wrong: 2005 is wrong.

29. Society's ethical values are shaped mainly by:

Answer: C. Culture, religion, tradition and education

Why correct: Society's values are shaped by culture, religion, tradition and education.

A is wrong: Stock trends do not shape values.

B is wrong: Exchange rates do not.

D is wrong: Tariffs do not.

30. The basic problems faced by all three countries are:

Answer: C. What to produce, how to produce and for whom to produce

Why correct: Every economy must decide what, how and for whom to produce.

A is wrong: Retirement and hiring are not basic problems.

B is wrong: Imports/exports are trade matters.

D is wrong: Taxes are fiscal matters.

31. The sensible next step for Nova's management is to:

Answer: B. Combine the external findings with internal strengths and weaknesses to form strategy

Why correct: Combine external findings with internal strengths and weaknesses to form strategy.

A is wrong: Stopping monitoring is risky.

C is wrong: Ignoring the report wastes it.

D is wrong: Cutting staff is unrelated.

32. The First Five Year Plan placed major emphasis on

Answer: C. Agriculture

Why correct: The First Plan stressed agriculture.

A is wrong: Heavy industry was the Second Plan.

B is wrong: Services were not the focus.

D is wrong: Exports were not the focus.

33. Protecting biodiversity means

Answer: A. Conserving the variety of plant and animal life

Why correct: Protecting biodiversity means conserving the variety of plant and animal life.

B is wrong: Clearing forests destroys it.

C is wrong: Hunting reduces it.

D is wrong: Mining can harm it.

34. The criticism over textile waste and demand for recycling is an:

Answer: A. Environmental factor

Why correct: Textile waste and recycling are environmental concerns.

B is wrong: It is not economic.

C is wrong: It is not technological.

D is wrong: It is not political.

35. Meena's wider choice and better quality are positive outcomes mainly of:

Answer: B. Increased competition after liberalisation

Why correct: Wider choice and better quality came from the competition that liberalisation brought.

A is wrong: Import quotas limit choice.

C is wrong: Public sector monopolies limit choice.

D is wrong: The Licence Raj limited choice.

36. Training local youth in technical skills falls under which kind of CSR activity?

Answer: D. Skill development, listed in Schedule VII

Why correct: Skill development is a Schedule VII activity.

A is wrong: Political donations are barred.

B is wrong: Product advertising is not CSR.

C is wrong: An employee bonus is not CSR.

37. Economic growth that does not create proportionate employment is called

Answer: A. Jobless growth

Why correct: Growth without matching jobs is jobless growth.

B is wrong: Inclusive growth covers all.

C is wrong: Sustainable growth protects the future.

D is wrong: Balanced growth is even.

38. A statutory audit gives shareholders

Answer: D. Independent assurance on financial statements

Why correct: A statutory audit gives shareholders independent assurance on the financial statements.

A is wrong: No audit guarantees profit.

B is wrong: Management secrets are not given.

C is wrong: Tax refunds are unrelated.

39. Consumers can file complaints online through the

Answer: D. e-Daakhil portal

Why correct: e-Daakhil is the online consumer complaint portal.

A is wrong: SEBI SCORES is for investors.

B is wrong: GST portal is for taxes.

C is wrong: CPCB portal is for pollution.

40. Which consumer right was violated in this case?

Answer: B. Right to safety

Why correct: A phone that overheats and burns violates the right to safety.

A is wrong: There is no right to bargain in this sense.

C is wrong: There is no right to hoard.

D is wrong: There is no right to profit.

41. A lower repo rate is expected to:

Answer: D. Make bank loans cheaper and encourage investment

Why correct: A lower repo rate makes loans cheaper and encourages investment.

A is wrong: It does not make loans costlier.

B is wrong: It raises money supply.

C is wrong: It does not change tax.

42. Advertising claims should be

Answer: C. Truthful and substantiated

Why correct: Ads must be truthful and backed by evidence.

A is wrong: Exaggeration misleads.

B is wrong: Hidden claims mislead.

D is wrong: Secret claims are useless.

43. An appeal against an order of the National Commission lies with the

Answer: D. Supreme Court

Why correct: Appeals from the National Commission go to the Supreme Court.

A is wrong: High Court is not the appeal.

B is wrong: State Commission is lower.

C is wrong: District Commission is lower.

44. Firms secretly agreeing on the prices they will quote in a tender is called

Answer: B. Bid rigging

Why correct: Secretly agreeing bids in a tender is bid rigging.

A is wrong: Auction is open bidding.

C is wrong: Hedging reduces risk.

D is wrong: Franchising licenses a brand.

45. Agmark certifies the quality of

Answer: B. Agricultural products

Why correct: Agmark certifies the quality of agricultural products.

A is wrong: Gold jewellery has a hallmark.

C is wrong: Electronics have ISI.

D is wrong: Textiles have other marks.

46. The sale of part of the government's stake in a public sector bank is called:

Answer: C. Disinvestment

Why correct: Selling part of the government stake is disinvestment.

A is wrong: Nationalisation is state takeover.

B is wrong: Devaluation is a currency matter.

D is wrong: Import substitution is a trade strategy.

47. Fair pricing means

Answer: D. Charging a reasonable price without exploiting consumers

Why correct: Fair pricing is a reasonable price without exploiting consumers.

A is wrong: The highest price exploits.

B is wrong: Below cost is unsustainable.

C is wrong: Daily changes are unstable, not fairness.

48. The production-linked incentive scheme reflects the government's role as a:

Answer: A. Promoter

Why correct: PLI schemes encourage industry, so the government acts as promoter.

B is wrong: It is not only a regulator.

C is wrong: A judge does not give incentives.

D is wrong: An auditor does not give incentives.

49. Selling goods in a foreign market at a price below cost or home price is called

Answer: D. Dumping

Why correct: Selling abroad below cost or home price is dumping.

A is wrong: Outsourcing is contracting work.

B is wrong: Disinvestment is selling stake.

C is wrong: Franchising licences a brand.

50. Consumerism is best described as

Answer: C. A social movement to protect and promote consumers' interests and rights

Why correct: Consumerism is a social movement to protect consumers' interests and rights.

A is wrong: It is not maximising consumption.

B is wrong: It is not a tax.

D is wrong: It is not a trade union.